PLAYBOOK · HIRING

Contractor vs Employee Classification

5 steps • 10 min read • Available from the Launchpad plan

"We will just call them a contractor" is the single most common way early-stage founders create hidden labour risk. South African law looks past the label on the document to the reality of the working relationship. This playbook walks through the tests the CCMA and courts actually use, so you classify correctly the first time.

WHY IT MATTERS

- The Labour Relations Act creates a rebuttable presumption of employment where certain factors are present, regardless of what the contract is titled.
- A misclassified contractor can claim employee benefits, notice pay, and unfair dismissal protections retroactively — often years of exposure at once.
- Correct classification also determines whether you must register the person for PAYE and UIF, and whether restraint of trade and IP assignment clauses will hold up.

Step-by-step

1 Apply the control test

Ask who decides how, when, and where the work gets done. Heavy direction and control by your business points toward employment; genuine autonomy points toward contracting.

2 Apply the integration and economic dependence tests

Is this person integrated into your organisation (e-mail address, reporting line, day-to-day supervision) and economically dependent on you as their main source of income? Both increase employment risk.

3 Check the statutory presumption factors

Review the recognised indicators — manner of work, hours of work, availability to the public, provision of tools, and who bears financial risk — against the real facts, not the paperwork.

4 Run the Independent Contractor Agreement wizard (if genuinely a contractor)

Where the facts support contractor status, generate an agreement that reflects a genuine service relationship: defined deliverables, invoicing, own tools, and no fixed hours of supervision — with IP assignment and confidentiality built in.

5 Document the classification decision and file it

Keep a short written record of why you classified the relationship the way you did. This is exactly what a CCMA commissioner or auditor will ask for, and it updates your Company Snapshot for future reference.

Quick checklist

- ■ Control test applied and documented
- ■ Integration and economic dependence assessed
- ■ Statutory presumption factors reviewed against the real facts
- ■ Correct agreement type generated (contractor vs employment)
- ■ Classification rationale filed in the Company Snapshot

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